



MONEY MATTERS:
Business drives the deal

for scarce hydro-carbon resources, increase the use of nuclear power that would help bring down carbon emissions and benefit the environment, give a major boost to bilateral trade, and finally, enhance the international nuclear non-proliferation regime by bringing India into the nuclear order. Rice, however, made it clear that this would in no way force India to accept a cap on its nuclear arsenal.

There are other reasons for the Bush administration's keenness to get India onboard. Its war on terror is flagging, its Iraq policy is proving to be a disaster and so, as some experts see it, the Indo-US deal is becoming the singular foreign policy achievement that Bush is looking forward to before he demits office next year. One official even said the initiative was as significant as that of the Nixon administration opening up to China in the 1970s. Sources say that during the negotiations, it was the larger strategic perspective that determined US

Unlike in India, there is bipartisan support for the deal in the US because Congressmen are aware of the major trade benefits.

China and India, as well as others, as new major global players—similar to the advent of a united Germany in the 19th century and a powerful United States in the early 20th century—will transform the geopolitical landscape, with changes potentially as dramatic as those in the previous two centuries. In the same way that commentators refer to the 1900s as the American Century, the 21st century may be seen as the time when Asia, led by China and India, comes into its own.

Experts like Ashley Tellis of the Carnegie Endowment for International Peace believe that the "centre of gravity is shifting from Europe to Asia". It is important for the US to achieve a new balance of power in Asia, which is threatened by Chinese dominance. While the Bush administration articulates no power words like "containment" officially, the need for

India to play a major countervailing force in the region is acutely felt. So it makes strategic sense for Bush and his advisers to help India on its way to becoming a major power. This means ending the hyphenated approach of bunting India and Pakistan that it has followed in South Asia. And putting India almost on par with China—"a double promotion," as an official jokes.

In her testimony to the Senate Foreign Relations Committee on the nuclear deal, US Secretary of State Condoleezza Rice said: "What this initiative does is to elevate the US-India relationship to a new strategic height." She pointed out five major benefits for the US in entering into such a deal, a strategic partnership that would make India a valuable global partner to the US, improve energy security given that India will become a major competitor

concessions. Both Bush and Rice were willing to yield a lot more ground because a breakthrough in relations with India was more important than getting Delhi to just cap its nuclear weapons arsenal.

The US Government's critics have pilloried Bush for entering into a deal with India that gives more to India than it does to the US, and also for destabilising the carefully crafted global non-proliferation regime. They point out that by pursuing the nuclear deal so zealously, the Bush administration had made it the lynchpin for relations between the two countries, a make-or-break situation that could result in a setback in relations for years if the deal falls through. Given Bush's penchant for bold initiatives, a failure wasn't something the administration factored in, and now his officials are scrambling to save the deal.